

SS3 COMMERCE LESSON NOTES

FIRST TERM

WEEK 1: HISTORY OF THE NIGERIAN CAPITAL MARKET

1.1 INTRODUCTION: WHAT IS A CAPITAL MARKET?

Before exploring its history, we must define the Capital Market. The **Capital Market** is a financial market where long-term funds (securities with a maturity of more than one year) are raised by businesses and governments. It is the market for long-term investments.

It is divided into:

1. **The Primary Market:** Where new securities (stocks, bonds) are issued for the *first time* (e.g., an Initial Public Offering or IPO).
2. **The Secondary Market:** Where *existing* (second-hand) securities are bought and sold. The **Stock Exchange** is the main example of a secondary market.

1.2 ORIGIN AND DEVELOPMENT OF THE NIGERIAN CAPITAL MARKET

The development of the Nigerian Capital Market (NCM) was a deliberate act by the government to foster economic development.

- **1. The Pre-Establishment Era (Before 1958):**
 - There was no formal capital market in Nigeria.
 - Companies (like UAC, John Holt) were foreign-owned.
 - The little capital that was raised was done informally or through banks (short-term loans).
- **2. The Barback Committee (1958):**
 - As Nigeria prepared for independence, the colonial government set up a committee led by **Professor R.H. Barback**.
 - **Mandate:** To investigate the feasibility of establishing a stock exchange in Nigeria.

- **Recommendation:** The committee's 1958 report strongly recommended the creation of a stock exchange to help mobilize capital for Nigerian businesses and to provide an investment channel for the growing middle class.
- **3. Establishment of the Lagos Stock Exchange (LSE) (1960/1961):**
 - Acting on the Barback report, the **Lagos Stock Exchange (LSE)** was incorporated as a private limited company on September 15, 1960.
 - It was officially opened and began trading operations on **June 5, 1961**.
 - It started with only 19 listed securities (mostly government bonds and a few foreign companies).
- **4. The Indigenisation Decree (1972 & 1977):**
 - This was the *biggest catalyst* for the market's growth.
 - The **Nigerian Enterprises Promotion Decree (Indigenisation Decree)** forced large foreign-owned companies to sell a portion of their shares (equity) to Nigerian citizens.
 - **Effect:** These companies (like UAC, Cadbury, Guinness) had to "go public" and list their shares on the Lagos Stock Exchange. This massively increased the number of listed companies, the volume of trading, and public awareness of the stock market.

1.3 TRANSFORMATION INTO THE NIGERIAN STOCK EXCHANGE (NSE)

- **The 1977 Review:** The government set up the **Financial System Review Committee** (led by Pius Okigbo) to review the economy.
- **The Change:** The committee recommended that the LSE, which was seen as too regional, be transformed into a truly national institution.
- **Result:** In 1977, the Lagos Stock Exchange was renamed **The Nigerian Stock Exchange (NSE)**.
- **Expansion:** The NSE established branches (trading floors) in other commercial centres, including **Kaduna (1978)**, **Port Harcourt (1980)**, and later in cities like Kano, Onitsha, Ibadan, and Abuja.

1.4 THE NIGERIAN EXCHANGE GROUP (NGX) - DEMUTUALIZATION (2021)

- For most of its life, the NSE was a "mutual" company, limited by guarantee (meaning it was owned by its members, the stockbrokers).
- **Demutualization (2021):** In 2021, the NSE completed a major transformation. It changed from a member-owned "club" into a profit-seeking public company called the **Nigerian Exchange Group (NGX) Plc.**
- **New Structure:**
 - **NGX Group Plc:** The holding company, which is itself listed and can be invested in.
 - **Nigerian Exchange (NGX) Limited:** The "stock exchange" itself, which handles listings and trading.
 - **NGX Regulation (NGX RegCo) Limited:** The independent regulatory arm.

1.5 ROLES AND IMPORTANCE OF THE SECURITIES AND EXCHANGE COMMISSION (SEC)

If the NGX is the "market," the SEC is the "police" or "government" of the market.

- **Origin:**
 - It started as the "Capital Issues Committee" in the 1960s.
 - It was formally established as the **Securities and Exchange Commission (SEC)** by the **SEC Act of 1979** (and strengthened by subsequent acts).
- **Role (The "Apex" Regulator):** SEC is the **apex regulatory body** for the *entire* Nigerian capital market. It is a government agency, not a private company.
- **Importance and Functions:**
 1. **Investor Protection:** This is its *number one* job. SEC protects investors from fraud, manipulation, and "insider trading."
 2. **Market Regulation:** SEC creates and enforces the "rules of the game" to ensure the market is fair, efficient, and transparent.
 3. **Registration of Securities:** *No* company can sell stocks or bonds (e.g., an IPO) to the public *until* SEC has reviewed its application and approved the "prospectus" (the offer document).

4. **Registration of Operators:** SEC registers and monitors all market operators, including stockbrokers, issuing houses (merchant banks), registrars, and investment advisers. It can suspend or revoke their licenses if they misbehave.
5. **Market Development:** SEC has a duty to develop the capital market by introducing new products, educating the public, and promoting investment.

EVALUATION (WEEK 1)

1. What is the "Capital Market," and what is its primary function?
2. What was the "Barback Committee" of 1958?
3. Explain how the "Indigenisation Decree" of 1972/77 affected the stock market.
4. Differentiate between the **Nigerian Exchange Group (NGX)** and the **Securities and Exchange Commission (SEC)** in terms of their roles.
5. List three major functions of the SEC.

ASSIGNMENT (WEEK 1)

1. What is "Demutualization"? Write a short paragraph explaining what happened to the Nigerian Stock Exchange (NSE) in 2021 and what it means for it to be a "Plc."

WEEK 2: STOCK EXCHANGE

2.1 MEANING OF A STOCK EXCHANGE

A **Stock Exchange** (or "Stock Market") is a highly organized financial market where securities (like stocks and bonds) are bought and sold at prices determined by supply and demand. It is a **secondary market**, meaning it facilitates the trade of *existing* securities, not new ones.

Analogy:

- **Primary Market:** A car company (e.g., Innoson) selling a brand-new 2025 car to its first owner.
- **Secondary Market (Stock Exchange):** A "car market" (like Berger) where people buy and sell "second-hand" 2022 or 2020 cars from each other.

The NGX (Nigerian Exchange) is the secondary market for companies (e.g., Dangote, MTN, GTB).

2.2 FUNCTIONS OF A STOCK EXCHANGE

1. **Provides a Ready Market (Liquidity):** Its most important function. It provides a central place where investors can *easily* and *quickly* buy or sell their securities. This "liquidity" (ability to turn an asset into cash) is what gives investors the confidence to invest in the first place.
2. **Mobilization of Savings:** It channels "idle" money from millions of small savers (the public) and large investors (e.g., pension funds) and directs it to businesses and governments that need it for long-term projects.
3. **Facilitates Capital Formation:** By providing a market for shares, it encourages companies to "go public" (issue IPOs) to raise vast amounts of long-term capital for expansion, new factories, and job creation.
4. **Acts as an "Economic Barometer":** The stock market reflects the health of the economy.

- A "**Bull Market**" (prices are rising) indicates investor confidence and economic growth.
 - A "**Bear Market**" (prices are falling) indicates pessimism, inflation, or a recession.
 - The **NGX All-Share Index (ASI)** is a number that summarizes the average performance of the market.
5. **Investor Protection:** The exchange sets strict rules ("listing requirements") that companies must follow, including publishing their financial reports regularly. This ensures transparency and protects investors from fraud.
 6. **Price Determination:** The market determines the "fair price" of a company's shares through the continuous interaction of buyers (demand) and sellers (supply).

2.3 MEMBERS OF THE STOCK EXCHANGE (OPERATORS)

Only licensed members can trade on the floor of the exchange.

1. **Stockbrokers (or Dealing Members):** These are firms licensed by the SEC and the NGX to buy and sell securities *on behalf of the investing public*. They are the "agents" who execute your trades and charge a commission.
2. **Issuing Houses (Merchant Banks):** These are financial institutions (banks) that advise companies on "going public." They manage the **Initial Public Offering (IPO)**, help set the price, and handle the paperwork for a company's *primary* market issue.
3. **Registrars:** They are responsible for *maintaining the list* (the "register") of a company's shareholders. They handle dividend payments, share certificates, and communication with investors.
4. **Jobbers (Historical):** *This role is now largely obsolete in modern, screen-based trading.* Jobbers were "wholesalers" who bought and sold shares for their *own* account, not for the public.

2.4 TYPES OF SECURITIES TRADED

1. **Equities (Stocks or Shares):**

- Represents *ownership* in a company. When you buy a share, you become a part-owner.
- **Ordinary Shares (Common Stock):** The most common. They carry *voting rights* (e.g., to elect the board of directors) and receive a *variable dividend* (profit) if the company declares one. They are the last to be paid if the company liquidates.
- **Preference Shares:** A hybrid. They have *no voting rights*, but they receive a *fixed, guaranteed dividend before* ordinary shareholders are paid.

2. Debt Securities (Bonds or Debentures):

- Represents a *loan* to a company or government. When you buy a bond, you are a *creditor*, not an owner.
- You receive a *fixed interest payment* (called a "coupon") and are guaranteed to get your principal back at a set "maturity date."
- **Government Bonds (Gilts):** Issued by the DMO (Debt Management Office) on behalf of the FGN. Considered "risk-free."
- **Corporate Bonds/Debentures:** Loans to companies.

2.5 IMPORTANCE OF STOCK EXCHANGE

- **To Investors:**
 - Provides a regulated avenue for investment and wealth creation.
 - Provides liquidity (can sell your investment).
 - Provides a regular source of income (dividends/interest).
- **To Companies ("Quoted" Companies):**
 - A massive source of long-term, low-cost capital for expansion.
 - Enhances the company's prestige and public image.
- **To the Economy (Government):**
 - A key driver of economic growth (capital formation).
 - Acts as a barometer of economic health.
 - Provides a channel for the government to raise money (by selling bonds) and to privatize state-owned enterprises.

EVALUATION (WEEK 2)

1. Define "Stock Exchange." Is it a primary or secondary market?
2. Explain the function of "Liquidity" in a stock market.
3. What is the difference between a "Bull Market" and a "Bear Market"?
4. Differentiate between a **Stockbroker** and an **Issuing House**.
5. What is the fundamental difference between an **Ordinary Share** and a **Government Bond**?

ASSIGNMENT (WEEK 2)

1. "The stock market is just a form of gambling." Write a two-paragraph essay, with one paragraph arguing *for* this statement and one paragraph arguing *against* it.



WEEK 3: SECOND TIER SECURITIES MARKET (SSM) I

3.1 MEANING OF SSM

The **Second-Tier Securities Market (SSM)** was a specialized "junior" market or "second window" of the Nigerian Stock Exchange (NSE), established in **1985**.

It was designed specifically to cater to **small and medium-sized indigenous enterprises (SMEs)** that wanted to raise long-term capital from the public but were *too small* to meet the *strict and expensive* listing requirements of the main (First-Tier) stock market.

*(Note: The SSM has since been replaced by the **Growth Board (G-Board)** of the NGX, but its principles and objectives remain the same and are essential to know.)*

3.2 OBJECTIVES OF ESTABLISHING THE SSM

The government and the NSE created the SSM with these specific goals:

1. **To Promote Indigenous Entrepreneurship:** To provide a viable channel for local, home-grown companies to raise capital, moving beyond bank loans or personal savings.
2. **To Encourage Small and Medium-sized Enterprises (SMEs):** To help SMEs (which are the "engine of growth" for any economy) to expand, create jobs, and become more competitive.
3. **To Act as a "Stepping Stone":** To serve as a "nursery" or "training ground" for companies. The idea was that a company could list on the SSM first, grow, and later "graduate" to the First-Tier (Main) market.
4. **To Broaden the Capital Market:** To increase the number and variety of companies listed on the exchange, giving investors more choice.
5. **To Encourage Better Corporate Governance:** To list on the SSM, a company (even a small one) had to start keeping proper financial records and have a formal board structure. This improved its professionalism.

3.3 LISTING REQUIREMENTS FOR COMPANIES (SSM VS. FIRST-TIER)

The "listing requirements" are the rules a company must meet to be allowed to trade on the exchange. The requirements for the SSM were *less stringent* (easier) than the main board.

Requirement	First-Tier (Main) Market	Second-Tier Market (SSM)
Trading History	Minimum of 5 years of audited accounts.	Minimum of 3 years of audited accounts.
Public Float	At least 25% of shares must be held by the public.	At least 10% of shares must be held by the public.
Shareholders	Minimum of 300 public shareholders.	Minimum of 100 public shareholders.
Capital Base	Very high (e.g., must have ₦Billions in assets).	Much lower (e.g., ₦Millions in assets).
Cost of Listing	Very high (application fees, brokerage fees, etc.).	Much lower, subsidized fees.
Disclosure	Very strict quarterly and annual reporting.	Strict, but with more leniency.

3.4 ROLE OF SSM IN PROMOTING INDIGENOUS ENTERPRISES

The SSM was a critical tool for local business development.

1. **Provides Long-Term "Patient" Capital:** Unlike a bank loan that must be paid back in 3-5 years with high interest, capital raised from selling shares is "**patient capital.**" The investors are *owners*, not lenders. They are willing to wait for the company to grow before seeing a return (dividends).
2. **Reduces Reliance on Debt:** It allowed indigenous companies to grow by selling *equity* (shares) rather than just taking on *debt* (loans), making their finances more stable.
3. **Improved Management:** By forcing SMEs to meet listing requirements, the SSM promoted better financial discipline, record-keeping, and management, making them stronger businesses.

EVALUATION (WEEK 3)

1. What is the Second-Tier Securities Market (SSM)?

2. Why was the SSM established? List three of its main objectives.
3. What is the target "audience" (the companies) for the SSM?
4. List three (3) ways the listing requirements for the SSM are "easier" than for the First-Tier market.

ASSIGNMENT (WEEK 3)

1. Explain what "Patient Capital" is and why it is better for a small, growing indigenous company than a bank loan.



WEEK 4: SECOND TIER SECURITIES MARKET (SSM) II

4.1 PROCEDURES FOR DEALING IN SSM SECURITIES

The *procedure* for an investor to buy or sell shares on the SSM is **exactly the same** as for the main market. The SSM is part of the same stock exchange, using the same trading floor and systems.

The Process for an Investor:

1. **Open an Account:** The investor must open a brokerage account with a licensed **Stockbroking Firm**.
2. **CSCS Account:** The broker will open a **CSCS (Central Securities Clearing System)** account for the investor. This is the electronic "bank" that holds all your shares in a dematerialized (digital) form.
3. **Place an Order:** The investor instructs their broker (e.g., "Buy me 1,000 shares of 'ABC Plc' at the market price").
4. **Execute the Trade:** The broker executes this trade on the **NGX's automated trading system**.
5. **Settlement (T+3):** The trade is "settled" by the CSCS. The money is transferred from the buyer's broker, and the shares are transferred to the buyer's CSCS account. This process usually takes T+3 (Trade date + 3 days).

4.2 ADVANTAGES AND CHALLENGES OF SSM

A. Advantages of the SSM

1. **For the Company:**
 - **Easier Access to Capital:** A gateway for SMEs to raise long-term funds.
 - **Lower Cost of Listing:** Cheaper than the main market.
 - **Improved Corporate Profile:** Being a "listed company" (even on the SSM) enhances prestige and public trust.
 - **Stepping Stone:** Provides a path to graduate to the First-Tier market.

2. For the Investor:

- **High Growth Potential:** SMEs have the potential for *much faster growth* than large, mature companies. An investor who buys shares in a small, successful company early can see huge returns.
- **Diversification:** Allows investors to diversify their portfolios into the SME sector.

3. For the Economy:

- **Job Creation:** Helps SMEs grow, which is the *primary source* of new jobs.
- **Economic Development:** Fosters a vibrant and growing indigenous corporate sector.

B. Challenges of the SSM

1. **Low Liquidity:** This is the *biggest* challenge. "Liquidity" is the ease of buying and selling. Because these companies are small and not well-known, there are very few buyers and sellers. An investor might own shares but be *unable to sell them* for months.
2. **High Risk:** Small companies are inherently riskier than large ones. They have a higher failure rate. Investors can lose their entire investment.
3. **Low Public Awareness:** Many investors (and SMEs) are simply not aware that this market exists or how it works.
4. **Poor Financial Reporting:** Many SMEs have weak accounting and record-keeping, making it difficult for investors to get reliable information to make a decision.
5. **Cultural Barriers:** Many Nigerian entrepreneurs have a "family business" mentality. They are afraid of "going public" because they do not want to *lose control* or *share their profits* with strangers (shareholders).

4.3 COMPARISON BETWEEN MAIN (FIRST-TIER) AND SECOND-TIER (SSM) MARKET

Feature	Main Market (First-Tier)	Second-Tier Market (SSM) / Growth Board
Target Companies	Large, well-established, mature companies.	Small to medium-sized indigenous companies (SMEs).

Examples	Dangote Cement, MTN, GTB, Nestle.	(Historically) Companies like Juli Pharmacy, Adswitch.
Listing Requirements	Very High & Strict. (e.g., 5+ years, 300+ shareholders, ₦Billions in capital).	Low & Flexible. (e.g., 2-3 years, 100+ shareholders, ₦Millions in capital).
Cost of Listing	Very expensive.	Relatively cheap; fees are lower.
Investor Risk	Lower Risk. These are "blue-chip" stocks, stable and established.	Higher Risk. Companies are smaller and more volatile.
Liquidity	High. Very easy to buy and sell shares daily.	Very Low. Can be difficult to find a buyer or seller.
Growth Potential	Moderate, stable growth.	High (potential) growth.
Prestige	High prestige and public visibility.	Lower prestige.

EVALUATION (WEEK 4)

1. What is the "CSCS," and what is its role?
2. List two advantages of the SSM for the *company* and two advantages for the *investor*.
3. What is the *single biggest challenge* or disadvantage of trading on the SSM?
4. In a table, compare the Main Market and the SSM based on (a) Risk and (b) Liquidity.

ASSIGNMENT (WEEK 4)

1. Imagine you are advising a small, successful, family-owned bakery ("Mama T's Bread Ltd").
2. Write a short proposal (one page) advising them on the *pros* and *cons* of listing on the SSM (Growth Board).

WEEK 5: MIDTERM EXAMINATION

This week is for the Midterm Examination, covering all topics from Weeks 1-4.

- **Topics:** History of NCM, SEC, Stock Exchange (Functions, Members, Securities), and the Second-Tier Market (SSM) (Objectives, Requirements, Pros/Cons).



WEEK 6: ECONOMIC GROUPING IN WEST AFRICA

6.1 MEANING OF ECONOMIC GROUPING (ECONOMIC INTEGRATION)

Economic Grouping (or Economic Integration) is an agreement or partnership between a group of countries (usually in the same geographic region) to reduce or eliminate trade barriers (like tariffs and quotas) among themselves. The goal is to create a larger, single market to foster trade, economic growth, and political cooperation.

Levels of Integration (from lowest to highest):

1. **Preferential Trade Area (PTA):** Lower tariffs on *some* goods.
2. **Free Trade Area (FTA):** No tariffs on *all* goods among members (e.g., NAFTA).
3. **Customs Union:** An FTA *plus* a common external tariff (CET) for non-members.
4. **Common Market:** A Customs Union *plus* free movement of *labour and capital*.
5. **Economic Union:** A Common Market *plus* a common currency and unified monetary policy (e.g., the Eurozone).

6.2 EXAMPLES OF ECONOMIC GROUPINGS

- **ECOWAS (Economic Community of West African States):** The main one for West Africa.
- **WAEC (West African Economic Community):** *Note: This is an old term. The main Francophone (French-speaking) grouping is the UEMOA (West African Economic and Monetary Union), which already has a common currency (the CFA Franc).*
- **MRU (Mano River Union):** A smaller grouping (originally Liberia and Sierra Leone, now includes Guinea and Cote d'Ivoire).

6.3 ECONOMIC COMMUNITY OF WEST AFRICAN STATES (ECOWAS)

- **Formation:** Established on **May 28, 1975**, by the **Treaty of Lagos**.
- **Membership:** 15 West African countries (e.g., Nigeria, Ghana, Senegal, Cote d'Ivoire, etc.).
- **Headquarters:** Abuja, Nigeria.

6.4 OBJECTIVES OF ECOWAS

The primary goal is to promote cooperation and integration, leading to the establishment of an economic union in West Africa.

1. **Economic Integration:** To create a **Common Market** (eliminating trade barriers) and eventually an **Economic Union** (a single currency, the **Eco**).
2. **Free Movement:** To allow the free movement of *people, goods, services, and capital* among member states.
3. **Policy Harmonization:** To align national policies in agriculture, transport, energy, and industry.
4. **Peace and Security:** To maintain regional peace, stability, and security.

6.5 ACHIEVEMENTS OF ECOWAS

1. **Free Movement of People:** This is its *greatest success*. The **ECOWAS Passport** and the **Protocol on Free Movement** (allowing 90-day visa-free travel) have made it much easier for citizens to travel, trade, and live within the region.
2. **Peace and Security (ECOMOG):** ECOWAS has a strong record of political intervention. Its military wing, **ECOMOG** (ECOWAS Cease-Fire Monitoring Group), successfully intervened to end the civil wars in **Liberia** and **Sierra Leone**. It also intervened to uphold democracy in **The Gambia** (2017).
3. **Infrastructure Development:** Some progress has been made on joint infrastructure projects, such as the **West African Gas Pipeline (WAGP)** and the **West African Power Pool (WAPP)**.
4. **Common External Tariff (CET):** ECOWAS has successfully established a Customs Union with a common external tariff, a major step towards a common market.

6.6 CHALLENGES OF ECONOMIC GROUPINGS IN WEST AFRICA

1. **National Interest vs. Regional Interest:** This is the *biggest* challenge. Countries often pass protectionist policies (like Nigeria's 2019 land border closure) that *violate* ECOWAS rules in order to protect their own domestic industries (e.g., rice farmers).

2. **Monetary Integration Failure:** The goal of a single currency (the **Eco**) has been postponed for decades. The Francophone **UEMOA** countries (who use the CFA Franc) have a different monetary system than the Anglophone countries.
3. **Linguistic and Legal Barriers:** The divide between the Francophone (French-speaking) and Anglophone (English-speaking) countries creates legal and cultural barriers to trade.
4. **Non-Payment of Dues:** Many member states fail to pay their membership contributions, which starves the ECOWAS Commission of funds.
5. **Political Instability:** The recent wave of military coups (e.g., in Niger, Mali, Burkina Faso) has destabilized the region and led to the suspension of member states.
6. **Smuggling:** Porous borders and a strong informal economy mean that a huge amount of trade is unofficial, unrecorded, and untaxed.

EVALUATION (WEEK 6)

1. What is "Economic Grouping"?
2. List the five (5) levels of economic integration.
3. What are the full names of ECOWAS and UEMOA?
4. What is the *single greatest achievement* of ECOWAS?
5. List three (3) major *challenges* facing ECOWAS.

ASSIGNMENT (WEEK 6)

1. "The main challenge to ECOWAS is that Nigeria is too big, and its national interests often override the community's goals." Write a one-page essay discussing this statement.

WEEK 7: MIDTERM BREAK

This week is for the midterm break.



WEEK 8: BUSINESS LAW

8.1 MEANING AND IMPORTANCE OF BUSINESS LAW

- **Meaning: Business Law** (also called Commercial Law) is a broad set of rules, principles, and regulations, enforceable by a court, that governs all business and commercial transactions. It provides the legal framework for how businesses are created, operated, and managed.
- **Importance:**
 1. **Provides Order and Predictability:** Sets clear "rules of the game" so that businesses know what is legal and what is not.
 2. **Enforcement of Contracts:** Provides a legal mechanism (the courts) to force parties to honour their agreements. This is the foundation of all commerce.
 - **Protects Rights:** It protects the rights of business owners (e.g., intellectual property), investors/shareholders (from fraud), and employees (from exploitation).
 4. **Resolves Disputes:** Provides a formal system (courts, arbitration) for resolving commercial disagreements peacefully.
 5. **Protects the Public:** Ensures businesses are safe (consumer protection) and fair (anti-monopoly).

8.2 SOURCES OF NIGERIAN BUSINESS LAW

These are the "sources" from which the legal rules are derived.

1. **The Constitution (1999):** The supreme, fundamental law of Nigeria. Any business law that conflicts with the constitution is void.
2. **Legislation (Acts of Parliament):** This is the *most important* source of modern business law. These are laws passed by the National Assembly.
 - **Examples:**
 - **CAMA 2020** (Companies and Allied Matters Act 2020): Governs all companies.

- **BOFIA 2020** (Banks and Other Financial Institutions Act): Governs all banks.
 - **FCCPA 2018** (Federal Competition and Consumer Protection Act): Governs consumer rights.
3. **Case Law (Judicial Precedent):** "Judge-made law." When a superior court (like the Supreme Court) makes a decision on a business case, that decision becomes a *binding precedent* (a rule) that all lower courts must follow.
 4. **English Common Law & Equity:** The body of laws, precedents, and principles of "fairness" inherited from Britain, which are still applied *if* there is no specific Nigerian law on the matter.
 5. **Customary Law:** Traditional, unwritten laws of various ethnic groups (e.g., traditional market rules, inheritance). Courts may apply customary law in a dispute *if* it is not "repugnant to natural justice, equity, and good conscience."

8.3 TYPES OF LAWS AFFECTING BUSINESS

1. **Law of Contract:**
 - **What it is:** The foundation of all business. It governs *agreements*.
 - **Key Elements:** For a contract to be valid, there must be (1) **Offer**, (2) **Acceptance**, (3) **Consideration** (something of value exchanged), (4) **Intention** to create legal relations, and (5) **Capacity** to contract.
2. **Company Law (CAMA):**
 - **What it is:** Governs the creation ("incorporation"), management, and dissolution ("winding up") of all business entities (Sole Proprietorship, Partnership, Limited Liability Company - Ltd, Plc).
3. **Sale of Goods Law:**
 - **What it is:** Governs the contract for the sale of goods.
 - **Key Principles:** It creates "implied terms," such as:
 - The seller has the *right to sell* the goods.
 - The goods must be of "merchantable quality" and "fit for purpose."
4. **Law of Agency:**

- **What it is:** Governs the relationship where one person (the **Principal**) authorizes another (the **Agent**) to act on their behalf and create legal relations with a third party.
- *Example:* A stockbroker (agent) acts for an investor (principal); a manager (agent) acts for a company (principal).

EVALUATION (WEEK 8)

1. Define Business Law and state three reasons for its importance.
2. What is the *most important* source of Nigerian business law today?
3. Explain "Case Law" (Judicial Precedent).
4. List the four (4) types of laws affecting business as mentioned in the scheme.
5. What are the five essential elements of a valid contract?

ASSIGNMENT (WEEK 8)

1. What does "CAMA" stand for? Find out and write down the *three* main types of business structures you can register under this Act.

WEEK 9: CONTRACT OF EMPLOYMENT AND GOVERNMENT REGULATION

9.1 CONTRACT OF EMPLOYMENT

- **Meaning:** A **Contract of Employment** (or "Contract of Service") is a specific type of legal agreement that establishes the relationship between an **Employer** (who provides work and pay) and an **Employee** (who agrees to perform work under the employer's control).
- **Features:**
 - It can be oral or written (but a written "letter of employment" is highly recommended).
 - It must contain the key elements of a contract (offer, acceptance, consideration - which is the wages).
 - It outlines the **terms and conditions** of the job: job title, duties, work hours, salary, holiday entitlement, sick pay, and termination/resignation procedures.

9.2 RIGHTS AND DUTIES OF EMPLOYER AND EMPLOYEE

Employer (The "Boss")	Employee (The "Worker")
Duties of the Employer (Employee's Rights)	Duties of the Employee (Employer's Rights)
1. Duty to Pay Agreed Wages: To pay the employee their salary at the agreed time.	1. Duty of Obedience: To obey the lawful and reasonable instructions of the employer.
2. Duty to Provide a Safe Work Environment: (Health & Safety) To ensure the workplace is safe from hazards.	2. Duty of Skill and Competence: To perform the job with a reasonable level of skill (i.e., not be negligent).
3. Duty to Provide Work: (In some cases) An employer cannot just "bench" an employee without pay.	3. Duty of Good Faith (Fidelity): To be honest, loyal, and not steal. This includes not working for a competitor ("moonlighting") or stealing trade secrets.
4. Duty of Indemnity: To repay the	4. Duty to be Ready and Willing to Work: To

employee for any expenses they incurred while doing their job.	show up for work (not be absent without permission).
Rights of the Employer	Rights of the Employee
1. Right to the employee's honest service.	1. Right to receive the agreed wages.
2. Right to dismiss for misconduct or incompetence.	2. Right to a safe work environment.
3. Right to control <i>how</i> the work is done.	3. Right to join a trade union.
4. Right to summary dismissal (firing) for <i>gross misconduct</i> (e.g., theft, violence).	4. Right to a notice period before termination.

9.3 GOVERNMENT REGULATION OF BUSINESS

The government intervenes in business to achieve national goals (raise revenue) and to protect the public (workers, consumers, environment).

- **1. Taxes:**
 - **Purpose:** To raise revenue to fund the government (schools, roads, military, etc.).
 - **Agencies:** Federal Inland Revenue Service (FIRS), State Boards of Internal Revenue (e.g., LIRS).
 - **Examples:** Company Income Tax (CIT) on profits, Value Added Tax (VAT) on goods, Personal Income Tax (PAYE) on employee salaries.
- **2. Labour Laws:**
 - **Purpose:** To protect workers from exploitation.
 - **Agencies:** Federal Ministry of Labour and Employment.
 - **Examples:**
 - **National Minimum Wage Act:** Sets the lowest legal wage.
 - **Employee's Compensation Act:** Requires employers to pay compensation if a worker is injured on the job.
 - **Trade Unions Act:** Guarantees the right to form and join unions.
- **3. Environmental Protection:**

- **Purpose:** To prevent businesses from destroying the environment.
- **Agencies:** NESREA (National Environmental Standards and Regulations Enforcement Agency), Ministry of Environment.
- **Examples:** Prohibiting oil spills, controlling factory smoke, managing industrial waste disposal.
- **4. Consumer Protection:**
 - **Purpose:** To protect consumers from unsafe products and unfair business practices.
 - **Agencies:** FCCPC (Federal Competition and Consumer Protection Commission), NAFDAC (for food/drugs), SON (for product quality).
 - **Examples:** Banning fake/substandard goods, forcing companies to recall unsafe products, prosecuting companies for "misleading advertising."

EVALUATION (WEEK 9)

1. What is a contract of employment?
2. List two (2) duties of an employer and two (2) duties of an employee.
3. What is "summary dismissal"?
4. List the four (4) main areas of government regulation of business.
5. What is the full meaning of FCCPC and NESREA?

ASSIGNMENT (WEEK 9)

1. A company fires an employee without paying them their month's salary because the employee was rude. The employee wants to sue.
2. Based on the lesson, (a) which *duty* did the employer breach? and (b) which *duty* might the employee have breached?

WEEK 10: MEANING OF NEGOTIABLE INSTRUMENT

10.1 DEFINITION OF NEGOTIABLE INSTRUMENTS

A **Negotiable Instrument** is a *document* that contains a *promise* or *order* to pay a specific (certain) sum of money.

It is a substitute for cash. The word "negotiable" means it is **freely transferable** from one person to another. The new holder (the "holder in due course") can take legal title to the instrument and has the right to be paid the money.

10.2 FEATURES (CHARACTERISTICS) OF A NEGOTIABLE INSTRUMENT

To be "negotiable," a document must have these features:

1. **Must be in Writing and Signed:** It cannot be a verbal promise.
2. **Must be an Unconditional Order or Promise:** It cannot be, "Pay Tunde ₦100,000 *if* he washes my car." It must be, "Pay Tunde ₦100,000."
3. **Must be for a Specific (Certain) Sum of Money:** It must be a clear amount, not "about ₦100,000."
4. **Must be Payable on Demand or at a Fixed Time:** It must be clear *when* it is to be paid (e.g., "on demand" or "30 days after date").
5. **Must be Payable "to Order" or "to Bearer":**
 - **"Pay to Bearer":** Whoever *physically holds* the instrument can be paid. This is a "bearer cheque."
 - **"Pay to the Order of Tunde":** Only Tunde (or someone he *transfers* it to by "endorsing" it) can be paid. This is an "order cheque."

10.3 TYPES OF NEGOTIABLE INSTRUMENTS

1. CHEQUES

- **Definition:** A **cheque** is a *bill of exchange* that is (1) drawn on a *banker* and (2) payable *on demand*.

- **Parties to a Cheque:**
 - **Drawer:** The person who *writes* the cheque (the account holder).
 - **Drawee:** The *bank* on which the cheque is drawn (the bank that is ordered to pay).
 - **Payee:** The person *to whom* the money is to be paid.
- **Types of Cheques:**
 - **Bearer Cheque:** Payable to whoever holds it. Very risky, like cash.
 - **Order Cheque:** Payable only to the named person ("Pay to the order of...").
 - **Crossed Cheque:** Has two parallel lines drawn across its face. It *cannot* be cashed over the counter; it *must* be paid into a bank account. This is a safety feature.

2. BILLS OF EXCHANGE

- **Definition:** An *unconditional order* in writing, from one person (the "drawer") to another (the "drawee"), requiring the drawee to pay a specific sum of money to a third person (the "payee") at a fixed future time.
- **Use:** The primary tool for **international trade**.
- **Example:** A Nigerian exporter (Drawer) sells cocoa to a UK buyer (Drawee). The exporter *draws a bill* on the buyer, ordering them to "Pay ₦50 Million to First Bank (Payee) in 90 days." The buyer "accepts" the bill by signing it. The exporter can then *discount* (sell) the bill to their bank *today* to get immediate cash.

3. PROMISSORY NOTES

- **Definition:** An *unconditional promise* in writing, made by one person (the "maker") to another (the "payee"), promising to pay a specific sum of money at a future date.
- **Parties:** Only two parties: the Maker and the Payee.
- **Nature:** It is a *promise* ("I promise to pay..."), not an *order* (like a cheque).
- **Example:** A common I.O.U. ("I Owe You") in a business deal. Banknotes (like the Naira) are a form of promissory note from the Central Bank.

10.4 IMPORTANCE IN BUSINESS TRANSACTIONS

1. **Convenience and Safety:** Allows for the payment of large sums without the risk or inconvenience of carrying physical cash.
2. **Facilitates Credit:** Bills of Exchange and Promissory Notes are "credit instruments." They allow a buyer to receive goods *today* but pay for them *in the future*.
3. **Provides Legal Proof:** A signed cheque or bill is legal, written evidence of a payment or a debt.
4. **Easy Transferability:** They can be easily transferred from one person to another (negotiated) to settle debts.

EVALUATION (WEEK 10)

1. What is a negotiable instrument?
2. List the three main features a document must have to be negotiable.
3. Name the three parties to a cheque.
4. What is the main difference between a "Bill of Exchange" and a "Promissory Note"?
5. What is a "crossed cheque," and what is its purpose?

ASSIGNMENT (WEEK 10)

1. Draw a simple diagram of a cheque.
2. Label the 8 key parts: (1) Drawee (Bank), (2) Drawer (Your Signature), (3) Payee (Who you are paying), (4) Date, (5) Amount in words, (6) Amount in figures, (7) Cheque Number, (8) Account Number.

WEEK 11: REVISION

- This week is for a comprehensive review of all topics from the First Term.
- **Key Themes:**
 - **The Capital Market (Weeks 1-4):**
 - History (Barback, LSE, NSE, NGX).
 - Regulator (**SEC**) vs. Market (**NGX**).
 - Functions of the Stock Exchange (Liquidity, Barometer, Capital).
 - Securities (Shares - ownership vs. Bonds - debt).
 - SSM (for SMEs, lower requirements, lower liquidity).
 - **International Commerce (Week 6):**
 - Economic Grouping (ECOWAS).
 - Objectives (Common Market, Free Movement).
 - Achievements (Passport, ECOMOG) vs. Challenges (Politics, Eco failure).
 - **The Legal Framework (Weeks 8-10):**
 - **Business Law:** Sources (Legislation, Case Law), Types (Contract, Company).
 - **Contract of Employment:** Rights/Duties of Employer/Employee.
 - **Government Regulation:** Why? (Taxes, Labour, Environment, Consumers - FCCPC, NAFDAC).
 - **Negotiable Instruments:** (Cheques, Bills, Notes), Features (Transferable, written order/promise).
- **Practice Past Questions:** Focus on differentiation questions (e.g., "Differentiate between SEC and NGX," "Compare Primary and Secondary Markets," "Distinguish between a Cheque and a Bill of Exchange").